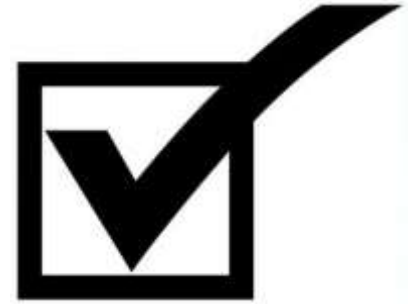




**BUSINESS
PROFESSIONALS
of AMERICA**
Giving Purpose to Potential



ADVANCED COLLEGE ACCOUNTING (115)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (57 points)

Problem 1: Inventory Entries _____ (40 points)

Problem 2: Depreciation Methods _____ (48 points)

Problem 3: Inventory Costing Methods _____ (40 points)

TOTAL POINTS _____ **(215 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Identify the letter of the choice that *best* completes the statement or answers the question.

1. A
2. B
3. D
4. A
5. C
6. B
7. C
8. D
9. A
10. D
11. C
12. D
13. A
14. C
15. B

Short Answer (3 Points Each)

1. When originally purchased, a truck had an estimated useful life of seven years. The truck cost \$68,000 and its estimated salvage value is \$5,000. After five years of straight-line depreciation, the asset's total estimated useful life was revised from seven years to nine years, and there was no change in the estimated salvage value.

What is the depreciation expense in year 6?	\$4,500
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2. Williams Inc. has measured its December 31, 2022, inventory on a FIFO basis at \$200,000. Information pertaining to that inventory follows.

Item	Amount
Estimated selling price	\$208,000
Estimated cost of disposal	12,000
Normal profit margin	30,000
Current replacement cost	190,000

On December 31, 2022, what is the loss that Williams should recognize? Assume no previously recorded inventory losses.	\$4,000
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3. Efron Company reported a gross profit percentage of 28% with net sales of \$1,400,000.

What is the amount of cost of goods sold?	\$1,008,000
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4. Jackman Inc. separately sells home security equipment and 12 months of security monitoring service for \$160 and \$340, respectively. The company sells an equipment/monitoring bundle on January 1 for a total price of \$450. The monitoring service begins immediately after the equipment is delivered and installed on January 1.

How much revenue should be allocated to the equipment for each bundled sale?	\$144
How much revenue should be allocated to the monitoring service for each bundled sale?	\$306
How much Sales Revenue should be reported on the January 31 Income Statement from the January 1 bundled sale?	\$144
How much Service Revenue should be reported on the January 31 Income Statement from the January 1 bundled sale?	\$25.50

5. Carlyle Corp. prepared the following two income statements:

	<u>First Quarter</u>	<u>Second Quarter</u>
Sales Revenue	\$21,500	\$25,800
Cost of Goods Sold		
Beginning Inventory	\$4,300	\$5,300
Purchases	<u>8,300</u>	<u>13,300</u>
Goods Available for Sale	12,600	18,600
Ending Inventory	<u>5,300</u>	<u>10,300</u>
Cost of Goods Sold	<u>7,300</u>	<u>8,300</u>
Gross Profit	14,200	17,500
Operating Expenses	<u>6,300</u>	<u>7,300</u>
Income from Operations	<u>\$7,900</u>	<u>\$10,200</u>

During the third quarter, the company's internal auditors discovered that the ending inventory for the first quarter was understated by \$950. The ending inventory for the second quarter was correct.

	Overstated/Understated/ No Effect	Amount
What effect would the error have on Income from Operations for the first quarter?	Understated	\$950
What effect would the error have on Income from Operations for the second quarter?	Overstated	\$950
What effect would the error have on Income from Operations for both quarters combined?	No Effect	\$0

6. Lutz Co.'s accounting records include the following information.

Item	Amount
Inventory, January 1, 2022	\$1,000,000
Purchases during 2022	5,000,000
Sales during 2022	6,400,000

A physical inventory taken on December 31, 2022, resulted in an ending inventory of \$750,000. Lutz's markup on cost has remained constant at 25% in recent years. Lutz suspects that an unusual amount of inventory may have been damaged and disposed of without appropriate tracking.

Using the gross profit method what is the estimated cost of missing inventory on December 31, 2022?	\$130,000
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7. Larson Manufacturing purchased a new machine at a cost of \$187,000 with terms 3/15, n/45. Payment was made within the discount period. Shipping costs were \$5,400, which included \$320 for insurance in transit. Installation costs totaled \$13,000, which included \$4,100 for taking out a section of a wall and rebuilding it because the machine was too large for the doorway.

What is the capitalized cost of the machine?	\$199,790
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8. Michaels Corp. reported the following information:

Net Sales	\$763,000
Bad Debt Expense	47,000
Accounts Receivable Balance on Jan. 1, 2022	133,000
Accounts Receivable Balance on Dec. 31, 2022	68,000
Allowance for Doubtful Accounts Balance on Jan. 1, 2022	55,000
Allowance for Doubtful Accounts Balance on Dec. 31, 2022	75,000

How much did Michaels write off during the year?	\$27,000
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9. Whitford Inc. exchanged equipment with a fair value of \$65,000 plus a cash payment of \$10,000 for equipment with a fair value of \$75,000. Whitford's equipment originally cost \$200,000 and accumulated depreciation of \$165,000. This transaction has commercial substance.

At what amount will Whitford record the new equipment?	\$75,000
Will a gain or loss be recorded on this transaction?	Gain
What amount of gain or loss will be recorded?	\$30,000

Problem 1 (40 Points – 2 points for each account title and 2 points for each amount. Account titles may vary slightly.)

Lind Inc. sells all of its inventory FOB destination. For the year ended December 31, the company reported inventory of \$77,000 and cost of goods sold of \$434,000.

- A. Included in the inventory balance (and Accounts Payable) are \$11,400 of inventory items Lind is holding on consignment.
- B. Included in the inventory balance are \$5,700 of office supplies held in Lind's warehouse.
- C. Excluded from the inventory balance are \$8,700 of inventory items in the warehouse, ready to send to the customers on January 2. Lind reported these items as sold on December 31, at a price of \$16,400.
- D. Included in the inventory balance are \$3,350 of items that were damaged in December and will be scrapped in January, with no realizable value.

For each item (A-D), prepare the journal entry to correct the balances presently reported. If no entry is required, write "No entry required" in the first account field.

Transaction	General Journal	Debit	Credit
A	Accounts Payable	11,400	
	Inventory		11,400
B	Office Supplies	5,700	
	Inventory		5,700
C	Sales Revenue	16,400	
	Accounts Receivable		16,400
	Inventory	8,700	
	Cost of Goods Sold		8,700
D	Cost of Goods Sold	3,350	
	Inventory		3,350

Problem 2 (48 Points – 1 point for each amount; no points for year)

Light Corp. acquired a new piece of equipment for \$20,000 on April 1, 2023. The equipment will be depreciated over a five year useful life, with a residual value of \$5,000. Light uses the half-year convention. Prepare the depreciation records under the following methods.

Straight-Line			
Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
2023	1,500	1,500	18,500
2024	3,000	4,500	15,500
2025	3,000	7,500	12,500
2026	3,000	10,500	9,500
2027	3,000	13,500	6,500
2028	1,500	15,000	5,000

Double-Declining Balance			
Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
2023	4,000	4,000	16,000
2024	6,400	10,400	9,600
2025	3,840	14,240	5,760
2026	760	15,000	5,000
2027			
2028			

Sum of Years' Digits			
Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
2023	2,500	2,500	17,500
2024	4,500	7,000	13,000
2025	3,500	10,500	9,500
2026	2,500	13,000	7,000
2027	1,500	14,500	5,500
2028	500	15,000	5,000

Problem 3 (40 Points – 4 points for each answer)

Barnum Inc. had the following balances and transactions during 2023, from January 1 to December 31:

Beginning Merchandise Inventory	300 units at \$84
March 10	Sold 150 units at \$150
June 10	Purchased 850 units at \$103
October 30	Sold 480 units at \$160

Assume the perpetual inventory system and is used (Round unit costs to two decimal places.)

FIFO	
What would be reported as Cost of Goods Sold on the income statement for the year ending December 31?	\$59,190
What would be reported as Gross Margin on the income statement for the year ending December 31?	\$40,110
What would be reported as Ending Inventory on the balance sheet for December 31?	\$53,560
LIFO	
What would be reported as Cost of Goods Sold on the income statement for the year ending December 31?	\$62,040
What would be reported as Gross Margin on the income statement for the year ending December 31?	\$37,260
What would be reported as Ending Inventory on the balance sheet for December 31?	\$50,710
Weighted Average	
What would be reported as Cost of Goods Sold on the income statement for the year ending December 31?	\$60,672
What would be reported as Gross Margin on the income statement for the year ending December 31?	\$38,628
What would be reported as Ending Inventory on the balance sheet for December 31?	\$52,078
Assuming that Barnum uses the FIFO inventory system, what is the LIFO Reserve?	\$2,850